ARIF HABIB LIMITED

REP-300

Pakistan Automobile Assemblers Sector

The auto sales numbers increased to 5.3K units during May’23 (+19% YoY)

12-June-2023

Muhammad Abrar

D: +92 21 32462589

UAN: +92 21 111 245 111, Ext: 248

F: +92 21 32420742

E: muhammad.abrar@arifhabibltd.com

ASIAMONEY

Best Securities House: 2022
Best Investment Bank: 2022

FinanceAsia

Best Investment Bank: 2022

Global Business Outlook

Best Equity House: 2022

ASSET ASIAN AWARDS TRIPLE A

Best Equity Advisor: 2021

CFA Society Pakistan

Best Brokerage House: 2022
Corporate Finance House: 2022
Best Economic Research House: 2022
Best Equity Research Analyst: 2022

PSX PAKISTAN STOCK EXCHANGE LIMITED

Top 25 Companies
(2019, 2018 & 2017)

CENTRAL DEPOSITORY COMPANY

Excellence Award
Leading Brokerage House for RDA 2021

FINANCIAL MARKETS ASSOCIATION OF PAKISTAN -FMA-

Best Money Market Broker
(Islamic) 2021

Auto Sales

The auto sales numbers increased to 5.3K units during May'23 (+19% YoY)

In May 2023, automobile sales in Pakistan witnessed an MoM recovery of 19%, albeit with a YoY decline of 77%, totaling 5.3K units. The monthly volumetric sales rebound was primarily driven by improved sales of PSMC, which experienced a 101% increase. However, a YoY dip can be attributed to the adverse impact of rising inflation, affecting consumer affordability. Additionally, unplanned plant shutdowns caused by SBP's import restrictions, continue to hurt overall production and supply of the automobile sector. Notably, HCAR's production plant was shut down for half of May. Furthermore, we anticipate that automobile sales will remain under pressure throughout the current calendar year.

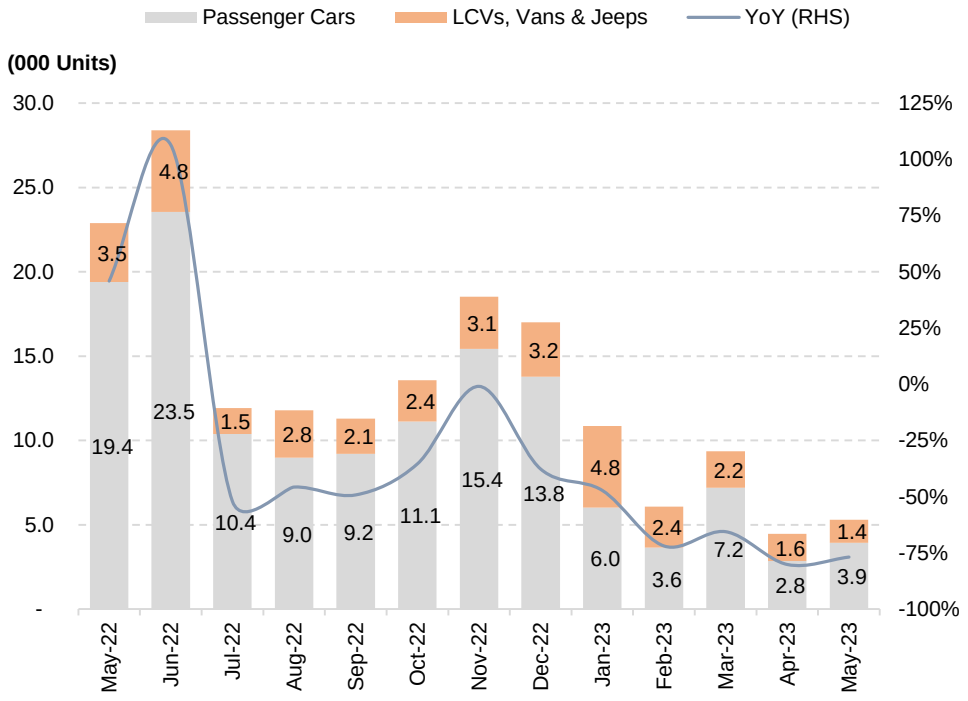
1,300cc segment and above posted a decline of 9% YoY. Given the sales of Civic and City went down by 65% MoM.

Conversely, **1,000cc segment** sales witnessed a surge in volumetric sales, led by a jump in the sales of Swift, whose sales went up by 129% YoY.

Sales in the **below 1000cc** segment went up by 109% MoM, recording 2,059 units.

INDU: INDU showed a decline in volumetric sales, selling 1,718 units in May 2023, down by 12% YoY compared to the last month. The sales of Fortuner and Hilux also portrayed a dip of 8% YoY to 865 units.
PSMC: PSMC, in absolute terms, contributed most to the jump in auto sales, portraying a massive jump of 101% MoM, with the sale of 1,902 units of Alto in May 2023 against the sale of 820 units in April 2023, up by 132% MoM.
HCAR: HCAR experienced a significant decline in sales, with an MoM decrease of 58%. Particularly, City/Civic sales were notably low, reaching a mere 56 units.
Tractors: Tractor sales portrayed a jump of 9% MoM in May 2023, with MTL sales surging by 25% MoM, while AGTL sales remained flat, down by -0.1% MoM.

Exhibit: Monthly Car, LCVs, Vans & Jeeps Sales



Source (s): PAMA, AHL Research

Auto Sales

Company and Product wise Sales

Exhibit: Category-wise Passenger Cars and LCV Unit Sales

Units	May-23	Apr-23	MoM	May-22	YoY	11MFY23	11MFY22	YoY
Category-wise Passenger Cars and LCV Unit Sales								
Passenger Cars	**3,934**	**2,844**	**38%**	**19,395**	**-80%**	**92,554**	**210,633**	**-56%**
1300cc & Above	1,445	1,585	-9%	9,683	-85%	42,942	94,079	-54%
1000cc	430	276	56%	3,528	-88%	11,961	41,698	-71%
Below 1000cc	2,059	983	109%	6,184	-67%	37,651	74,856	-50%
LCVs, Vans & Jeeps	**1,356**	**1,619**	**-16%**	**3,498**	**-61%**	**27,604**	**40,255**	**-31%**
Total	**5,290**	**4,463**	**19%**	**22,893**	**-77%**	**120,158**	**250,888**	**-52%**
Company Wise Snapshot								
Passenger Cars + LCVs								
INDU	1,718	1,948	-12%	5,882	-71%	29,258	68,224	-57%
PSMC	2,958	1,474	101%	12,212	-76%	62,354	134,270	-54%
HCAR	87	207	-58%	2,910	-97%	16,572	35,549	-53%
Trucks & Buses								
GHNL	9	6	50%	93	-90%	651	1,108	-41%
GHNI	89	48	85%	258	-66%	1,753	3,130	-44%
HINO	22	28	-21%	80	-73%	812	979	-17%
Bikes and Three Wheelers								
ATLH	87,133	73,528	19%	115,328	-24%	930,352	1,249,614	-26%
Tractors								
AGTL	2,003	2,005	0%	2,401	-17%	11,466	20,741	-45%
MTL	1,505	1,206	25%	2,505	-40%	16,486	30,616	-46%

Source (s): PAMA, AHL Research

Exhibit: Product wise Sales Numbers

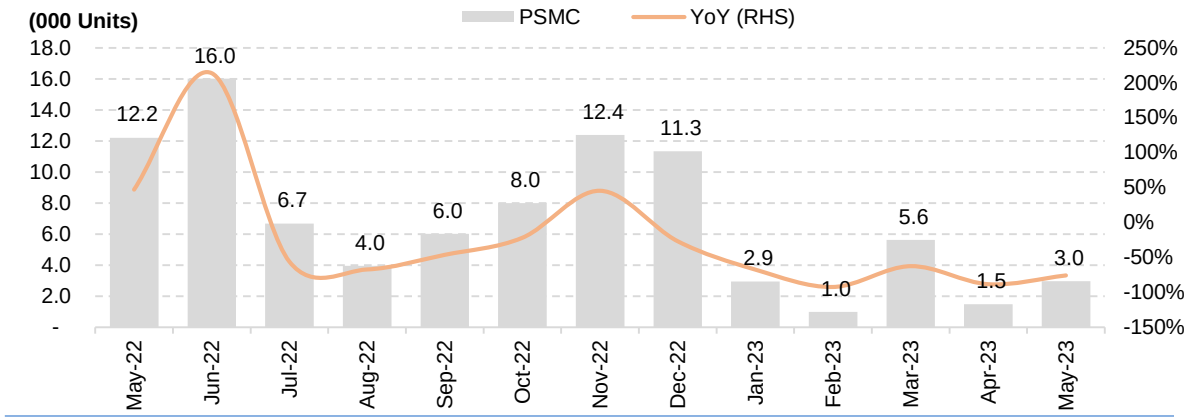
	May-23	Apr-23	MoM	May-22	YoY	11MFY23	11MFY22	YoY
PSMC								
Swift	332	145	129%	1,744	-81%	9,061	4,514	101%
Cultus	282	177	59%	1,270	-78%	6,692	20,701	-68%
Wagon R	148	99	49%	2,258	-93%	5,269	20,997	-75%
Alto	1,902	820	132%	5,461	-65%	33,466	63,711	-47%
Bolan	157	163	-4%	723	-78%	4,185	11,145	-62%
Ravi	137	70	96%	756	-82%	3,681	13,202	-72%
Total	**2,958**	**1,474**	**101%**	**12,212**	**-76%**	**62,354**	**134,270**	**-54%**
INDU								
Corolla and Yaris	853	1,007	-15%	4,263	-80%	17,854	52,075	-66%
Fortuner and Hilux	865	941	-8%	1,619	-47%	11,404	16,149	-29%
Total	**1,718**	**1,948**	**-12%**	**5,882**	**-71%**	**29,258**	**68,224**	**-57%**
HCAR								
Civic/City	56	159	-65%	2,681	-98%	12,596	31,776	-60%
Honda BRV	31	48	-35%	229	-86%	3,976	3,773	5%
Total	**87**	**207**	**-58%**	**2,910**	**-97%**	**16,572**	**35,549**	**-53%**
Hyundai Nishat								
Tucson	194	315	-38%	639	-70%	4,461	3,998	12%
Porter	105	136	-23%	77	36%	1,239	1,562	-21%
Elantra	69	119	-42%	594	-88%	2,074	3,120	-34%
Sonata	135	155	-13%	400	-66%	1,356	2,581	-47%
Total	**503**	**725**	**-31%**	**1,710**	**-71%**	**9,130**	**11,261**	**-19%**
Tractors								
AGTL	2,003	2,005	0%	2,401	-17%	11,466	20,741	-45%
MTL	1,505	1,206	25%	2,505	-40%	16,486	30,616	-46%
Total	**3,508**	**3,211**	**9%**	**4,906**	**-28%**	**27,952**	**51,357**	**-46%**

Source (s): PAMA, AHL Research

Auto Sales

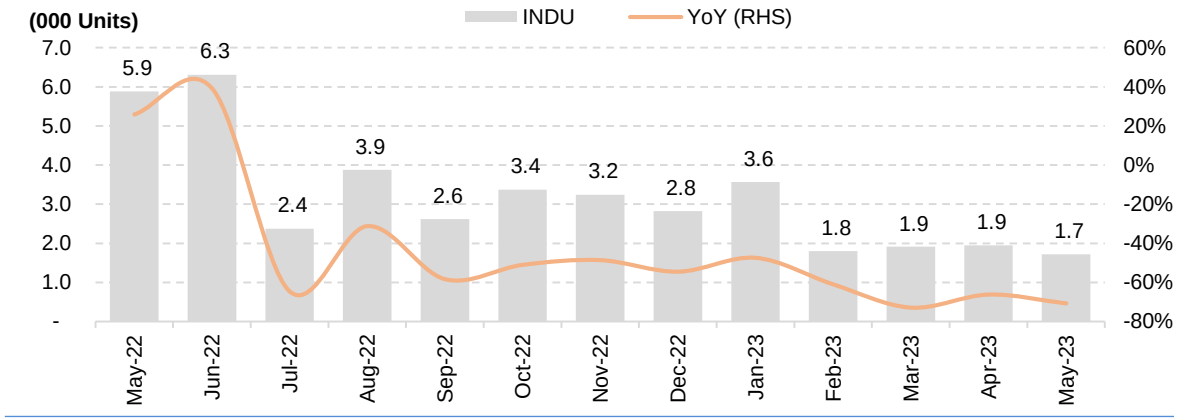
Company and Product wise Sales

Exhibit: PSMC Monthly Sales Number



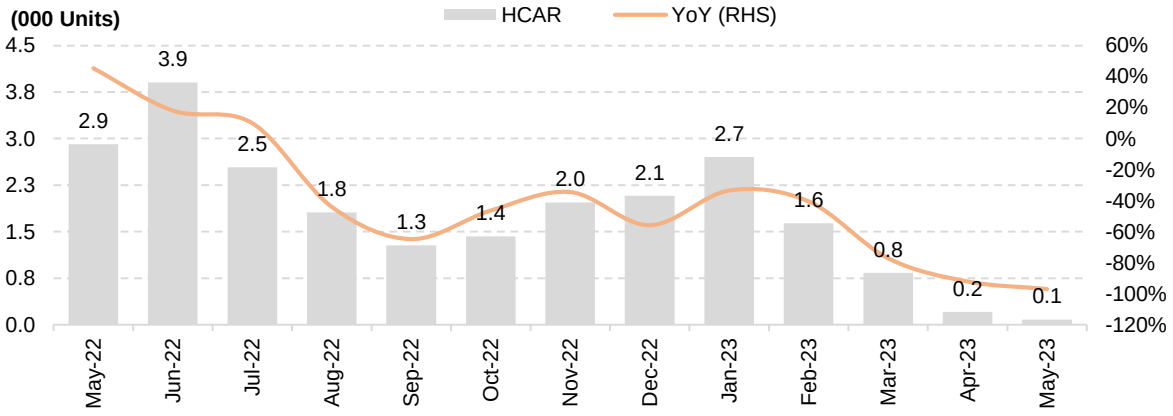
Source (s): PAMA, AHL Research

Exhibit: INDU Monthly Sales Number



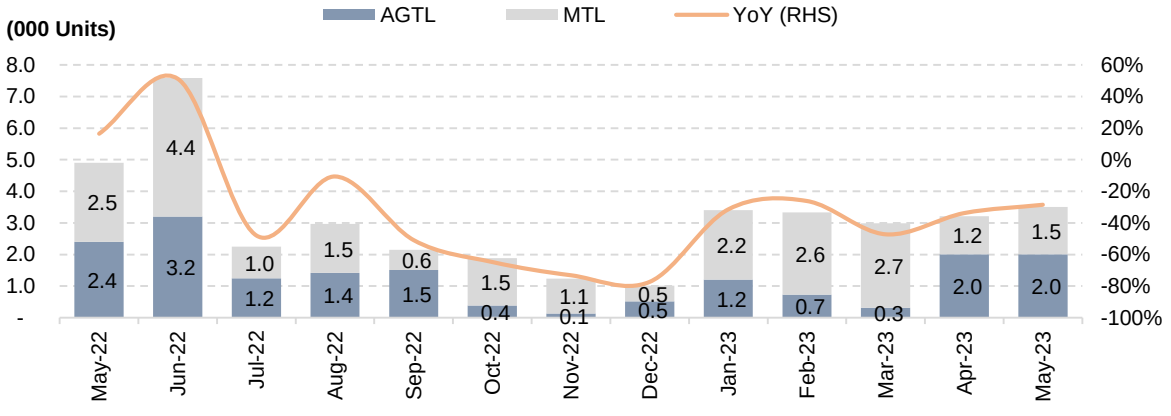
Source (s): PAMA, AHL Research

Exhibit: HACR Monthly Sales Number



Source (s): PAMA, AHL Research

Exhibit: MTL and AGTL Monthly Sales Number and Growth



Source (s): PAMA, AHL Research

Analyst Certification and Disclaimer

Analyst Certification: The research analyst(s) is (are) principally responsible for preparation of this report. The views expressed in this research report accurately reflect the personal views of the analyst(s) about the subject security (ies) or sector (or economy), and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. In addition, we currently do not have any interest (financial or otherwise) in the subject security (ies). Furthermore, compensation of the Analyst(s) is not determined nor based on any other service(s) that AHL is offering. Analyst(s) are not subject to the supervision or control of any employee of AHL's non-research departments, and no personal engaged in providing non-research services have any influence or control over the compensatory evaluation of the Analyst(s).

Equity Research Ratings

Arif Habib Limited (AHL) uses three rating categories, depending upon return form current market price, with Target period as Dec 2023 for Target Price. In addition, return excludes all type of taxes. For more details, kindly refer the following table;

Rating	Description
BUY	Upside* of subject security(ies) is more than +15% from last closing of market price(s)
HOLD	Upside* of subject security(ies) is between -15% and +15% from last closing of market price(s)
SELL	Upside* of subject security(ies) is less than -15% from last closing of market price(s)

Equity Valuation Methodology

AHL Research uses the following valuation technique(s) to arrive at the period end target prices;

- Discounted Cash Flow (DCF)
- Dividend Discount Model (DDM)
- Sum of the Parts (SoTP)
- Justified Price to Book (JPTB)
- Reserved Base Valuation (RBV)

Risks: The following risks may potentially impact our valuations of subject security (ies);

- Market risk
- Interest Rate Risk
- Exchange Rate (Currency) Risk

Disclaimer: This document has been prepared by Research analysts at Arif Habib Limited (AHL). This document does not constitute an offer or solicitation for the purchase or sale of any security. This publication is intended only for distribution to the clients of the Company who are assumed to be reasonably sophisticated investors that understand the risks involved in investing in equity securities. The information contained herein is based upon publicly available data and sources believed to be reliable. While every care was taken to ensure accuracy and objectivity, AHL does not represent that it is accurate or complete and it should not be relied on as such. In particular, the report takes no account of the investment objectives, financial situation and particular needs of investors. The information given in this document is as of the date of this report and there can be no assurance that future results or events will be consistent with this information. This information is subject to change without any prior notice. AHL reserves the right to make modifications and alterations to this statement as may be required from time to time. However, AHL is under no obligation to update or keep the information current. AHL is committed to providing independent and transparent recommendation to its client and would be happy to provide any information in response to specific client queries. Past performance is not necessarily a guide to future performance. This document is provided for assistance only and is not intended to be and must not alone be taken as the basis for any investment decision. The user assumes the entire risk of any use made of this information. Each recipient of this document should make such investigation as it deems necessary to arrive at an independent evaluation of an investment in the securities of companies referred to in this document (including the merits and risks involved), and should consult his or her own advisors to determine the merits and risks of such investment. AHL or any of its affiliates shall not be in any way responsible for any loss or damage that may be arise to any person from any inadvertent error in the information contained in this report.